7. If the points on the scatter diagram indicate that as one variable increases the other variable tends to decrease the value of r will be:

(a) Perfect positive
(b) Perfect negative
(c) Negative
(d) Zero

8. The value of the coefficient of correlation r lies between:

(a) 0 and 1
(b) -1 and 0
(c) -1 and +1
(d) -0.5 and +0.5

9. The term regression was used by:

(a) Newton
(b) Pearson
(c) Spearman
(d) Galton

10. The purpose of simple linear regression analysis is to:

(a) Predict one variable from another variable
(b) Replace points on a scatter diagram by a straight-line
(c) Measure the degree to which two variables are linearly associated
(d) Obtain the expected value of the independent random variable for a given value of the dependent variable

11. A process by which we estimate the value of dependent variable on the basis of one or more independent variables is called:

(a) Correlation
(b) Regression
(c) Residual
(d) Slope

12. If Y = 2 - 0.2X, then the value of Y intercept is equal to

(a) -0.2
(b) 2
(c) 0.2X
(d) All of the above

13. In the regression equation $Y = \beta_0 + \beta_1 X$, the Y is called:

(a) Independent variable
(b) Dependent variable
(c) Continuous variable
(d) none of the above

14. In the regression equation $Y = \beta_0 + \beta_1 X$, the X is called:

(a) Independent variable
(b) Dependent variable
(c) Continuous variable
(d) none of the above

15. Econometrics is the integration of

(a)Economics and Statistics
(b) Economics and Mathematics
(c)Economics, Mathematics and Statistics
(d) None of the above

16 .Econometric is the word coined by

(a) Francis Galton
(b) RagnarFrish
(c) Karl Person
(d) Spearsman

12-Economics-Chapter_12.indd 279 05-02-2020 13:10:26